

# A newer edition is available.

This link opens Litepaper V1, which describes an older fee split.  
For the current testnet design and tokenomics, read V1.2.

**OPEN THE CURRENT LITEPAPER V1.2 >**

[https://slothmahn.github.io/fuel-forge/Fuel\\_Forge\\_Litepaper\\_V1.2.pdf](https://slothmahn.github.io/fuel-forge/Fuel_Forge_Litepaper_V1.2.pdf)

The original V1 pages follow for historical reference.

The public fast test uses mock assets; real market swaps are not live there.



# LITEPAPER V1

**COMMIT. BURN. FORGE. EARN.**

A FUEL-powered DeFi protocol for recurring ETH and cbBTC rewards  
while continuously buying and burning FUEL and MORE.

**EXPERIMENTAL - TESTNET FIRST**

# Fuel Forge at a glance

Fuel Forge is designed to create additional utility for FUEL without introducing a new native token. Users lock FUEL for a chosen term, optionally burn additional FUEL to increase their Forge Power, and compete for recurring externally funded reward pools.

**8-1,000d**

**STAKE RANGE**

Any whole-day term

**5.0x**

**MAX FORGE POWER**

Duration + burn bonus

**8 / 28 / 88**

**ETH CYCLES**

Global recurring pools

**288d**

**FOUNDRY CYCLE**

cbBTC pool

## CORE LOOP

### STAKE FUEL

Create a transferable  
Forge NFT



### BUILD POWER

Longer term + optional  
FUEL burn



### EARN

Share recurring  
ETH pools



### SUPPORT

Fees fund FUEL + MORE  
buy-and-burn

## NO NATIVE FORGE TOKEN

- **FUEL** is the principal asset users stake and/or burn.
- **Forge Power** determines each position's share of ETH rewards.  
It stays attached to the Forge NFT and transfers with it.
- **ETH** and **cbBTC** are externally funded reward assets.
- **FUEL** and **MORE** receive recurring market buy-and-burn support from protocol fees.
- **Position NFTs** make each stake transferable without changing the underlying economics.

# Forge Power

LONGER PAYS BETTER + BURN PAYS BETTER

Every normal stake becomes a Forge Position NFT. Its parameters are fixed when created: principal, duration, burn amount, start time and maturity. Positions cannot be modified and cannot exit early.

## FORGE POWER FORMULA

$$\text{Forge Power} = \text{Staked FUEL} \times (1 + \text{Duration Bonus} + \text{Burn Bonus})$$

Maximum: 1x base + 1x duration + 3x burn = 5x total Forge Power

## LONGER PAYS BETTER

Duration bonus scales linearly from +0% at 8 days to +100% at 1,000 days.

|           |       |
|-----------|-------|
| 8 days    | 0%    |
| 88 days   | 8.1%  |
| 365 days  | 36.0% |
| 730 days  | 72.8% |
| 1000 days | 100%  |

## BURN PAYS BETTER

Burn additional FUEL alongside the stake. The bonus scales 1:1 and caps when burned FUEL reaches 3x the staked amount.

|                 |           |
|-----------------|-----------|
| 0x stake burned | +0%       |
| 1x stake burned | +100%     |
| 2x stake burned | +200%     |
| 3x stake burned | +300% MAX |

## EXAMPLE

100M FUEL staked for 1,000 days + 300M FUEL burned:

# 500M FORGE POWER

100M base + 100M duration shares + 300M burn shares

Burned FUEL is permanent. The locked 100M principal remains claimable at maturity subject to the late-claim rules.

# Recurring reward cycles

ELIGIBILITY FREEZES AT THE SCHEDULED TIMESTAMP

The payout clocks are global. A position with positive Forge Power at a scheduled close can share that cycle's ETH rewards, regardless of its chosen stake term.

| Cycle              | Asset | Share of 41% reward bucket | Settlement             |
|--------------------|-------|----------------------------|------------------------|
| 8 days             | ETH   | 32%                        | Batched public trigger |
| 28 days            | ETH   | 27%                        | Batched public trigger |
| 88 days            | ETH   | 21%                        | Batched public trigger |
| 288 days - Foundry | cbBTC | 20%                        | Public trigger         |

## SETTLEMENT RULES

- Eligibility is fixed at the scheduled deadline, even if settlement happens later. Positions created or closed at that exact deadline are excluded from the closing cycle.
- Each pool reserves a total of 0.25% for public settlement. For 8/28/88-day ETH pools, this budget is shared among callers processing the cycle in batches. It is not 0.25% per batch.
- The remaining pool is allocated in proportion to eligible Forge Power, or equally per Foundry NFT for the 288-day pool.
- Rewards are claimed separately and never expire. Unclaimed rewards follow NFT ownership; when a Forge NFT closes, earlier reward rights stay with its final owner.
- After every eligible claim is completed, any tiny rounding remainder rolls into the active cycle.
- Delayed settlement cannot shift future deadlines or use funding allocated to later cycles.

## CLOCK ANCHOR

16:00 UTC

Launch and all 8/28/88/288-day deadlines follow this fixed UTC anchor. The schedule remains unchanged if a settlement transaction is delayed.

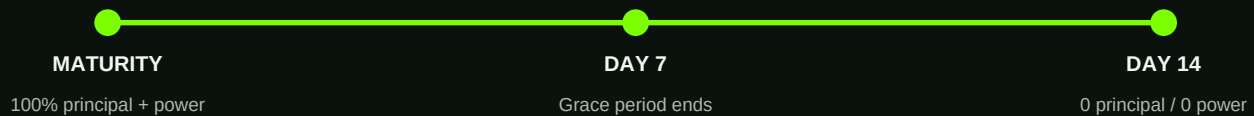
# Position NFTs & maturity

TRANSFERABLE POSITIONS. NO EARLY EXIT.

Each normal stake has a transferable Forge NFT. Its owner controls the remaining principal and unclaimed rewards. No withdrawal is available before maturity.

## AT MATURITY

Principal and Forge Power remain unchanged for the first 7 days after maturity. Both then decay linearly over the following 7 days, reaching zero at day 14.



## WITHDRAWAL & FINALIZATION

During the grace period, withdrawal returns all principal. During the next 7 days, it returns the remaining amount and burns the decayed portion. Withdrawal closes and burns the Forge NFT.

At day 14, no principal is recoverable. Any wallet may finalize the expired position, burn the remaining tokens and close the NFT. This requires a transaction; it does not execute automatically.

## REWARDS SURVIVE POSITION CLOSURE

- Decay affects only that position. While it retains positive Forge Power, it can still participate in future ETH cycle closes, subject to the eligibility rules.
- Previously earned rewards are untouched. After withdrawal or finalization, those reward rights remain claimable by the NFT's final owner and never expire.
- Other Forge NFTs held by the same wallet are unaffected.

## TRANSFERS

Transferring an active Forge NFT moves the position and its unclaimed rewards to the new owner. It does not reset the stake term, burn bonus, maturity, decay state or claim history.

# The 288-Day Foundry

PERMANENT FUEL BURN FOR A SHARE OF cbBTC

The Foundry is separate from normal staking. It is a 288-day burn-to-enter reward cycle designed for users who want to permanently remove FUEL in exchange for a proportional claim on the cycle's cbBTC pool.

## 100M FUEL

### COST PER NFT

Permanently burned

## cbBTC

### REWARD ASSET

Accumulated through cycle

## 1 NFT = 1 share

### WEIGHT

Unlimited per wallet

### HOW IT WORKS

1

#### BURN

Burn 100M FUEL to mint one Foundry NFT.

2

#### ACCUMULATE

20% of the reward bucket is converted into cbBTC as protocol ETH is routed.

3

#### SETTLE

At day 288, eligibility is closed and a public caller settles the cycle for a 0.25% caller reward.

4

#### CLAIM

Each NFT receives an equal fraction of the remaining cbBTC pool. Unclaimed rewards do not expire.

### AFTER SETTLEMENT

Foundry NFTs are cycle-specific and never earn from a later cycle. They remain transferable collectibles, carrying any unclaimed cbBTC for their original cycle. After every NFT in the cycle has claimed, any tiny rounding remainder rolls into the active Foundry cycle.

# Protocol fees & buy-and-burn

FEES SCALE WITH POSITION VALUE, WITH HARD LIMITS

Creating a normal Forge position requires an ETH protocol fee based only on the market value of the FUEL being staked. Burned FUEL and stake duration do not increase the fee.

## FEE RULE

**0.5% of staked FUEL value in ETH**

MIN 0.001 ETH | MAX 0.01 ETH

## EVERY 1 ETH OF PROTOCOL REVENUE

**41%**

REWARDS

**34%**

FUEL B&B

**24%**

MORE B&B

**1%**

DEVELOPMENT

## FUEL-STYLE BURN ENGINES

- FUEL and MORE burn-engine ETH pools drip at a default **1% of pool per day**.
- The daily drip is sliced into **144 ten-minute intervals**.
- Any wallet may execute an available interval and receives **1.5% of that interval** in ETH.
- Missed intervals stack rather than disappearing.
- Production swaps are intended to use TWAP-based minimum outputs and bounded slippage.
- Purchased FUEL and MORE are sent to their permanent burn destinations.

# Trust model & launch status

FIXED ECONOMICS. PUBLIC-FACING PROTECTIONS.

Fuel Forge is designed to hard-lock its core rules. These are intended protections in an experimental, unaudited protocol, not a guarantee of safety.

## HARD-LOCKED ECONOMICS

- 8-1,000 day stake range
- Duration and burn bonus formulas
- 41 / 34 / 24 / 1 routing
- 32 / 27 / 21 / 20 reward split
- 8 / 28 / 88 / 288 clocks
- 100M FUEL Foundry cost
- Late-decay rules
- No early withdrawal; irreversible burns

## USER PRINCIPAL & REWARDS

- No dev withdrawal of user principal or rewards.
- No early withdrawal, including by a dev.
- Users claim rewards separately. Claims never expire, including after a Forge NFT closes.
- If a settlement transaction fails, its changes roll back and funds remain intact for retry.

## BOUNDED PROTOCOL-FEE PRICING

The production design uses a short FUEL/WETH TWAP from the primary liquidity pool to reduce the impact of brief price movements. This does not eliminate price-manipulation risk, especially when liquidity is low.

**Fee: 0.5% of staked FUEL value in ETH, with a 0.001 ETH minimum and 0.01 ETH maximum.** Burned FUEL and stake duration do not increase the fee.

## SWAPS & EXTERNAL DEPENDENCIES

Production FUEL/MORE buy-and-burn and ETH-to-cbBTC swaps are intended to use TWAP-based minimum outputs and bounded slippage. External dependency failures should preserve funds for retry rather than accept unsafe execution.

## PUBLIC TESTNET / DEVELOPMENT

The current Robinhood Chain testnet alpha uses mock assets and simulated swaps; no real market trades occur. Production pricing and swap integrations remain a deployment target.

Unit, fuzz and invariant testing support development but do not guarantee safety. The protocol is unaudited. Review and test the contracts yourself and DYOR.

# Risks & participation

EXPERIMENTAL. UNAUDITED. HIGH RISK.

Participation can result in partial or total loss. Consider the risks below before locking or burning FUEL, acquiring a position NFT, or interacting with production contracts.

## NO EXPECTATION OF PROFIT

There is no expectation or guarantee of gains, yield, appreciation or profit. Rewards depend on actual protocol activity and revenue, are not a fixed APY, and may be worth little or nothing.

## ASSETS CAN BECOME WORTHLESS

FUEL, MORE, ETH, cbBTC, Forge NFTs and Foundry NFTs can lose significant value or become worthless. Buy-and-burn mechanics do not guarantee price appreciation.

## SMART-CONTRACT & ECONOMIC RISK

Smart-contract bugs or exploits, liquidity conditions, integration failures, oracle or pricing issues, and economic flaws can cause partial or total loss of funds. Intended protections do not eliminate these risks.

## LOCKS, BURNS & PRINCIPAL LOSS

There is no early withdrawal. FUEL burned for Burn Pays Better or Foundry NFTs is permanently destroyed and unrecoverable. Late-withdrawal decay can destroy principal: after the 7-day grace period, principal and Forge Power decay over 7 days, reaching zero at day 14.

## TESTNET IS NOT A SAFETY GUARANTEE

The protocol is experimental and unaudited. Testnet availability and unit, fuzz or invariant testing do not guarantee safety. Do your own research (DYOR); independently review and test the contracts and their dependencies before participating.

## PARTICIPATE ONLY WITH FUNDS YOU CAN AFFORD TO LOSE

Base participation on independent research and your personal risk tolerance.